

Executive Summary — Product Line Profitability & Margin Performance

Overview

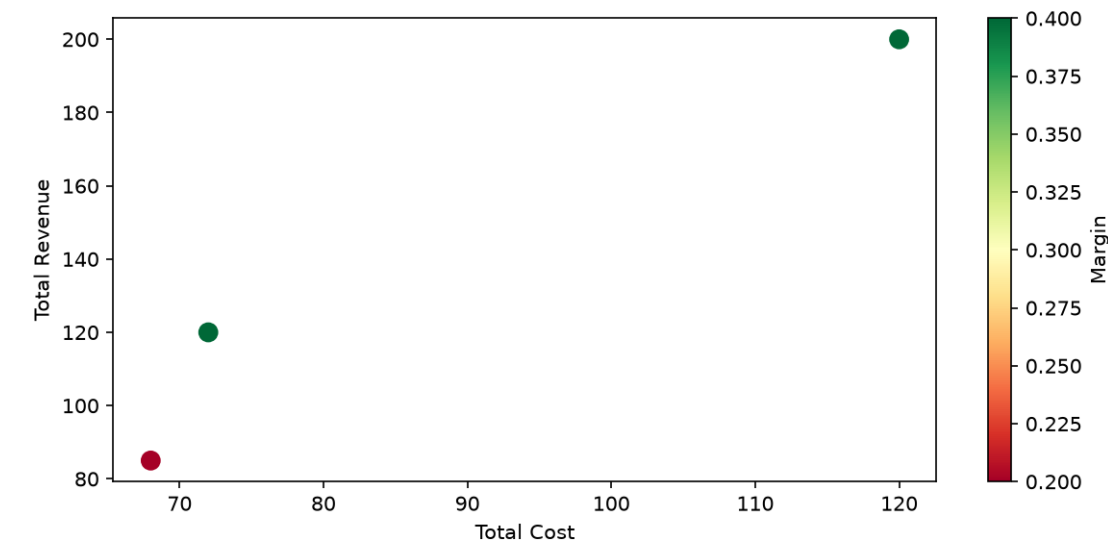
This report summarizes product- and division-level profitability, cost diagnostics, Pareto concentration, and margin-risk scoring for Nassau Candy Distributor. The analysis uses order-level data to compute KPIs and flag products that require attention.

Profitability Findings

- 2. Wonka Bar - Fudge Mallows — Revenue: \$200.00, Profit: \$80.00, Margin: 40.0%
- 1. Wonka Bar - Nutty Crunch Surprise — Revenue: \$120.00, Profit: \$48.00, Margin: 40.0%
- 3. Wonka Bar - Scrumdiddlyumptious — Revenue: \$85.00, Profit: \$17.00, Margin: 20.0%

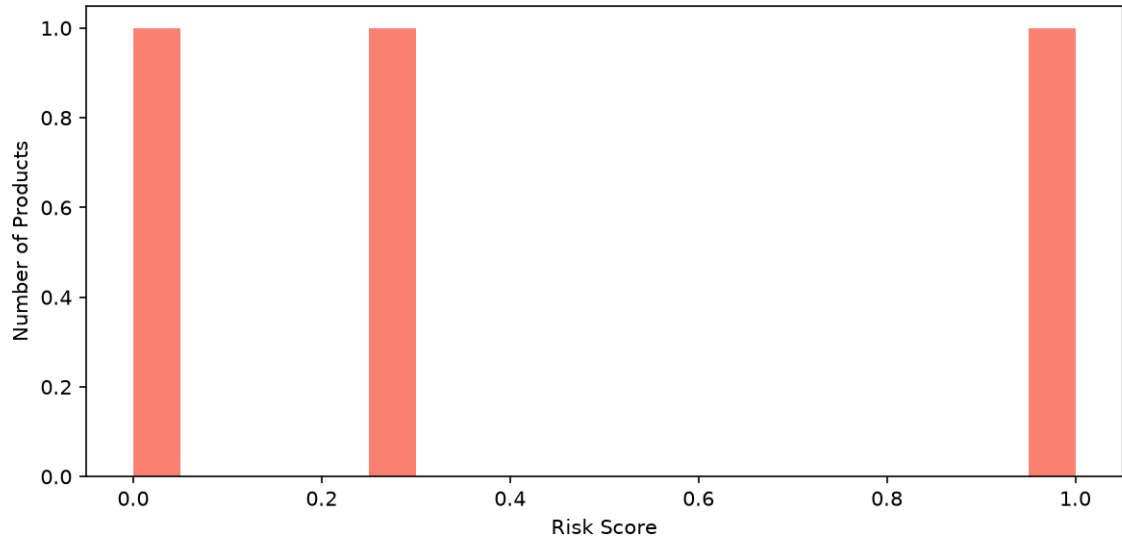
Cost Findings

Cost diagnostics reveal products with high cost-to-revenue ratios and low margins; these are candidates for repricing, renegotiation, or discontinuation.



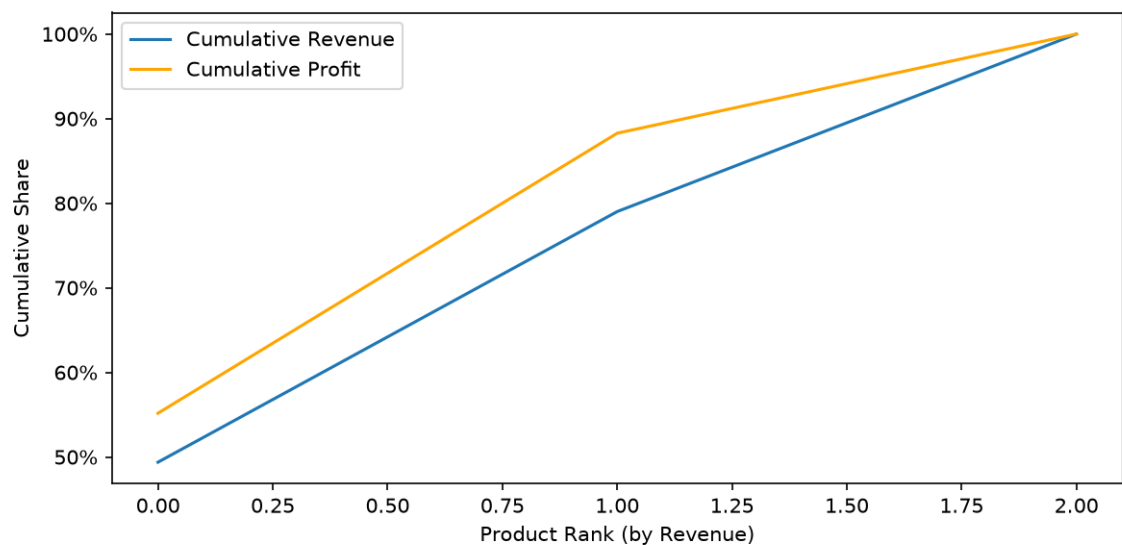
Margin-Risk Findings

Margin-risk scoring combines margin volatility, margin level, profit contribution, and concentration to prioritize products for review. Products with High risk scores should be reviewed first.



Pareto Insights

A minority of products account for the majority of revenue and profit. Focus assortment, promotions, and service levels on top products identified in the Pareto analysis.



Recommendations

1. Rename and prioritize top profit and high-risk SKUs for pricing and supplier review.
2. Negotiate supplier costs or consider alternative factories for high cost-to-revenue products.
3. Reduce promotions on high-sales/low-margin SKUs unless they have strategic value.
4. Implement quarterly automated runs of this pipeline and incorporate into executive reporting.

Artifacts

See dashboard at ``app/dashboard.py``. The product-level tables and Pareto CSVs are available for download from the dashboard.